



How protection is being sold

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RGA UK

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mjames@rgare.com

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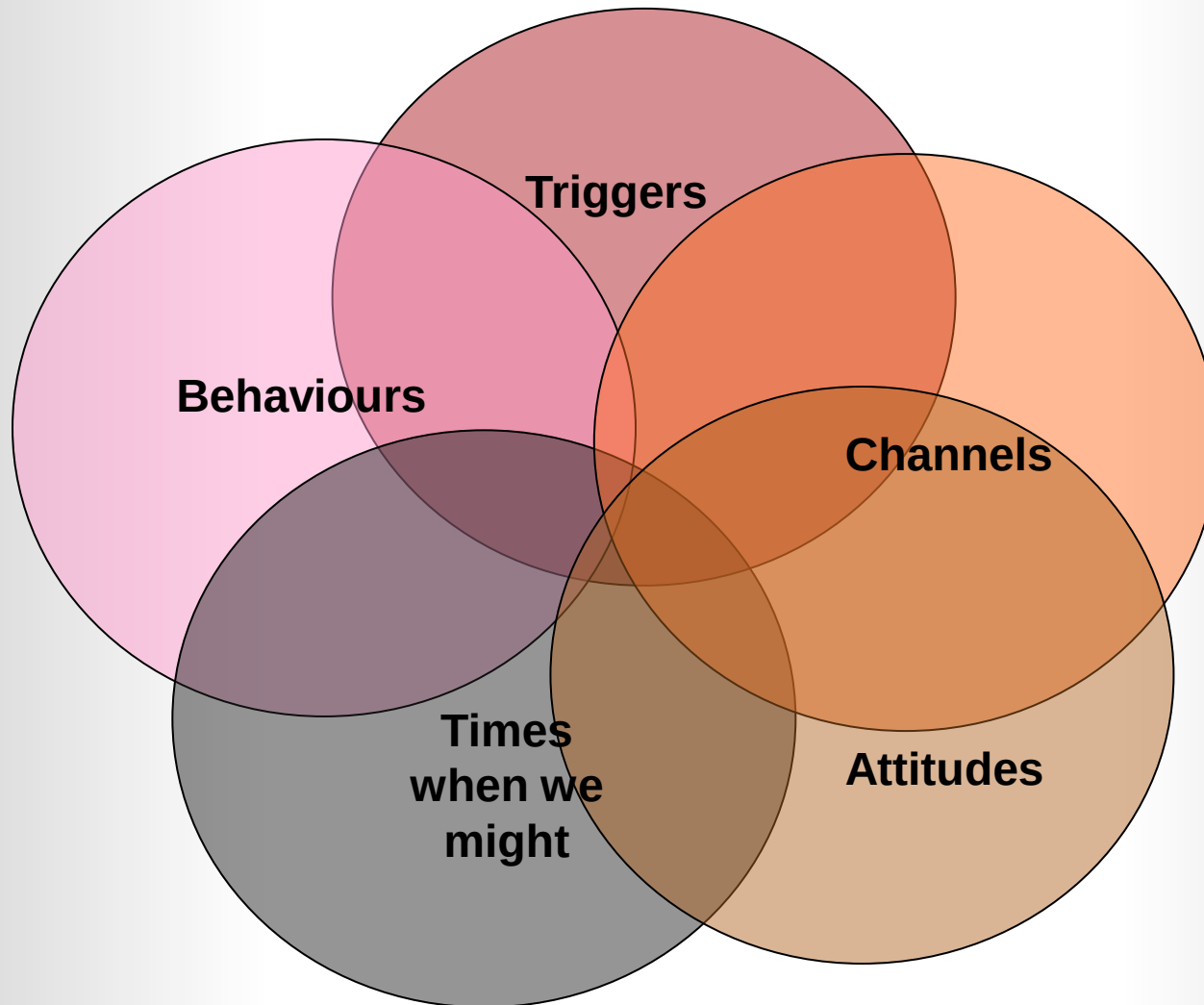
- How are protection policies sold?
- What are the different sales options for consumers?
- What are the issues and risk factors for insurers and consumers associated with each of these options?
- Where does all the money go?

But before we go any further...who's recently bought a protection product?

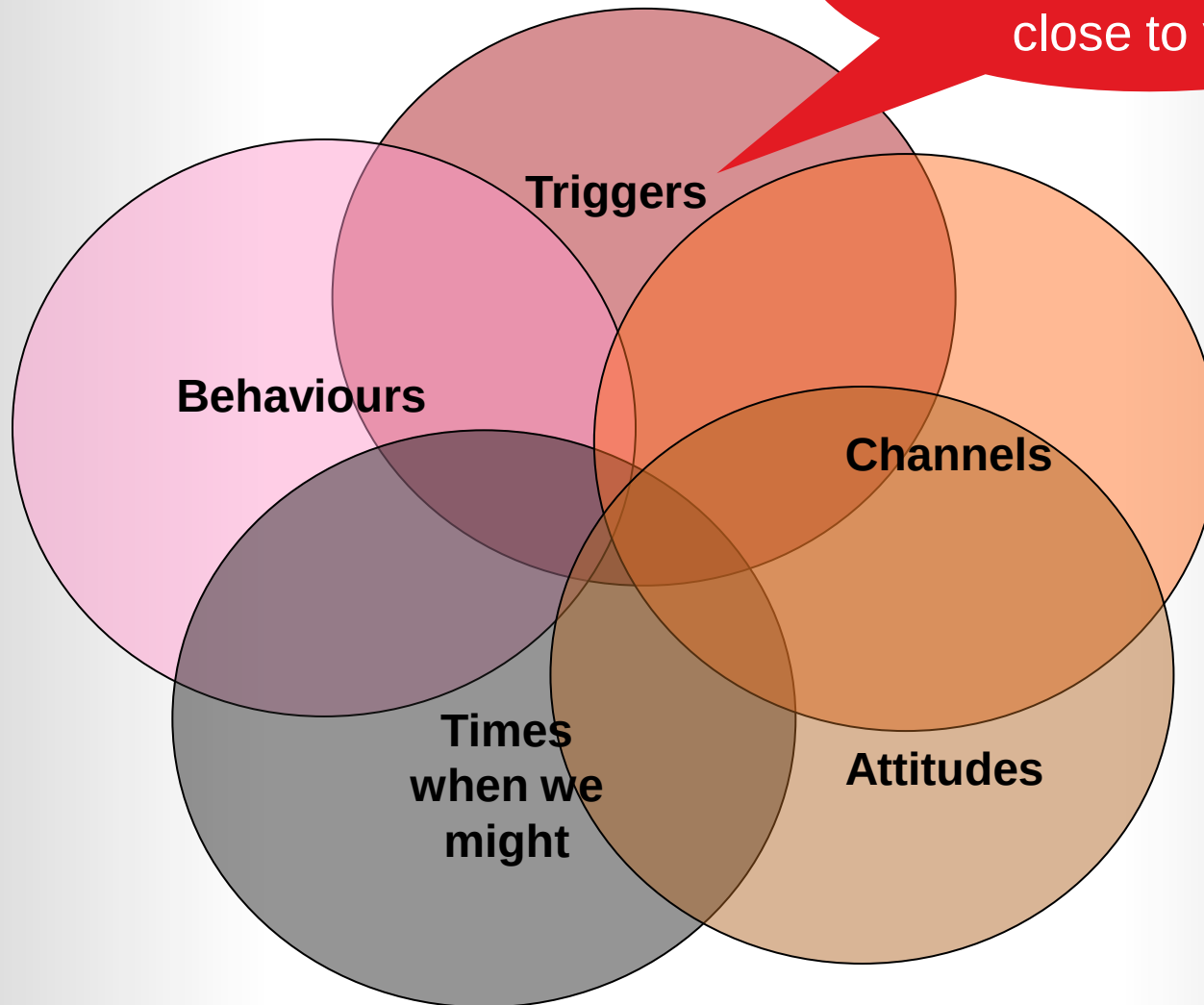
- What did you buy?
- Why did you buy it?
- Who did you buy it from?
- How did it feel?
- Was it a great experience?
- What would make it all feel better?

**Buying is a complex series of things
It is not rational it is far more emotional
There's also a lot in there about trust.**

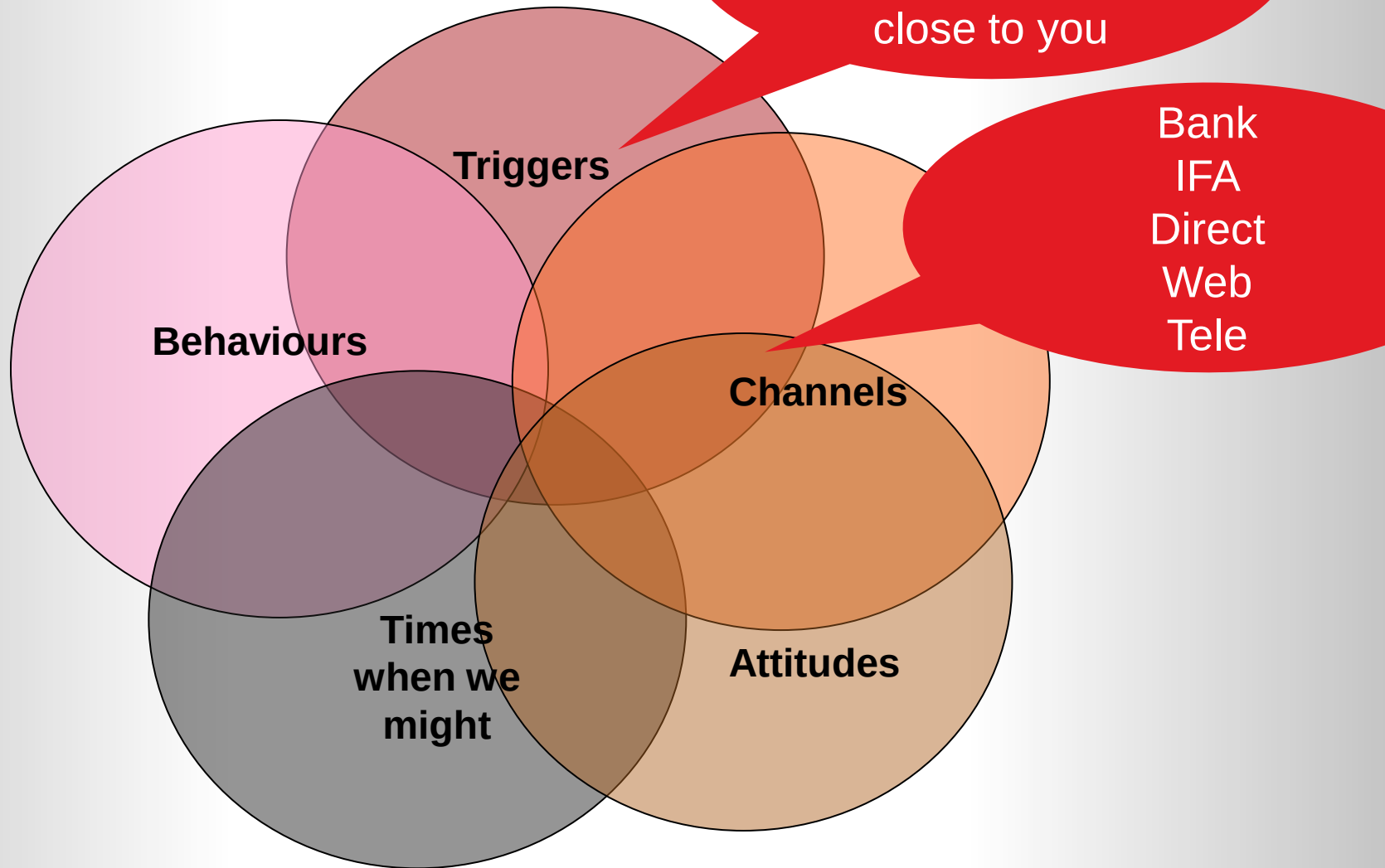
Layers of Complexity



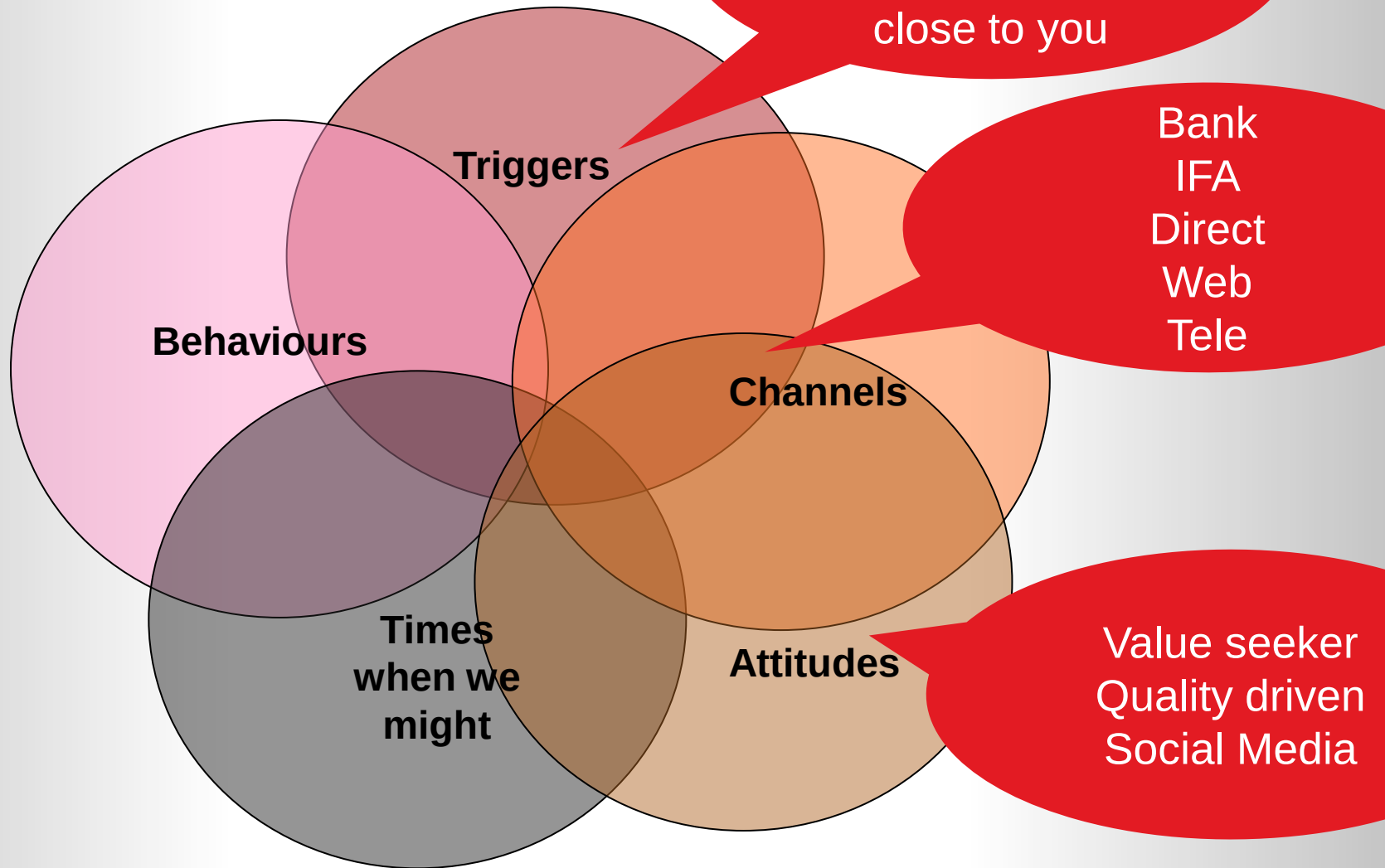
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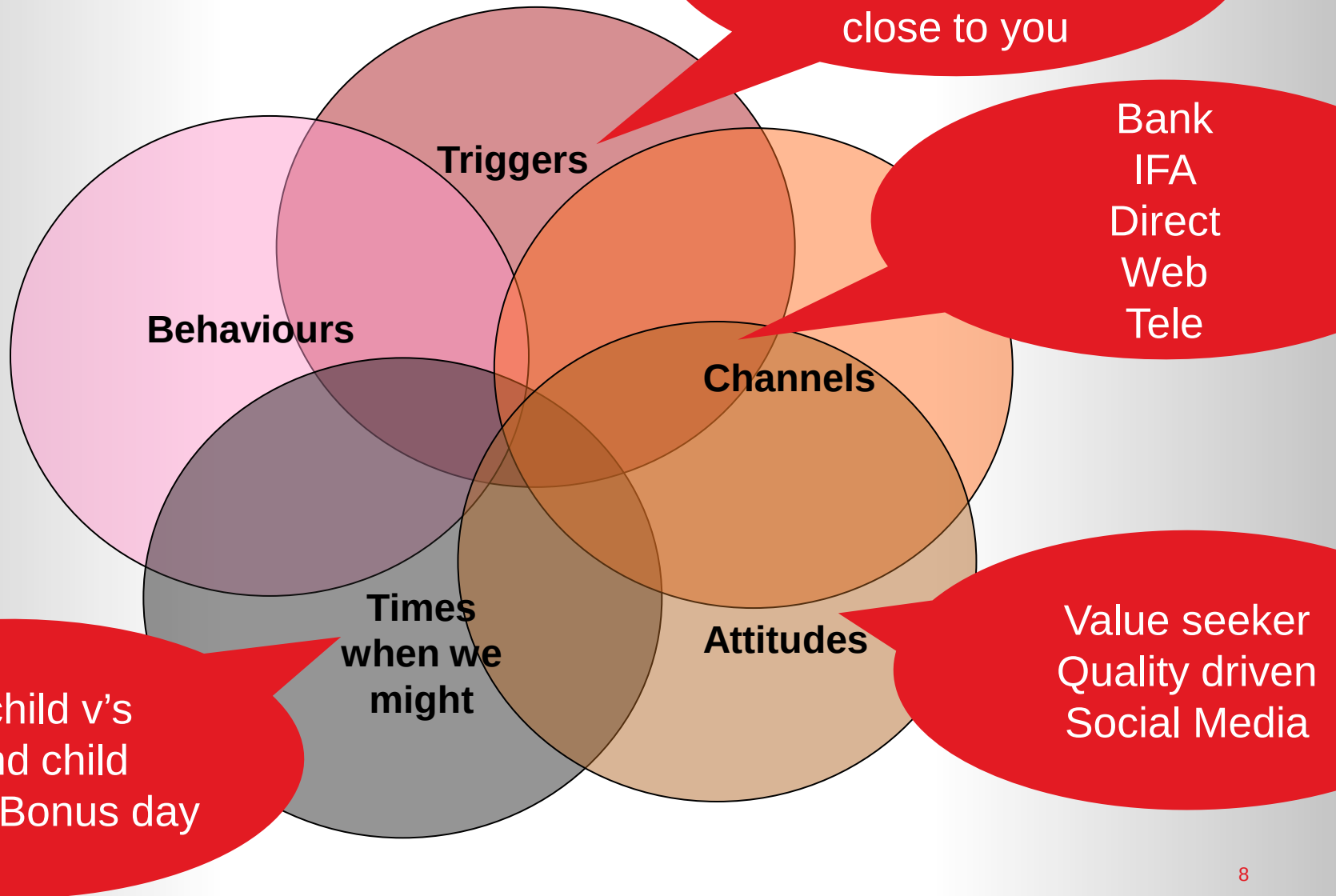
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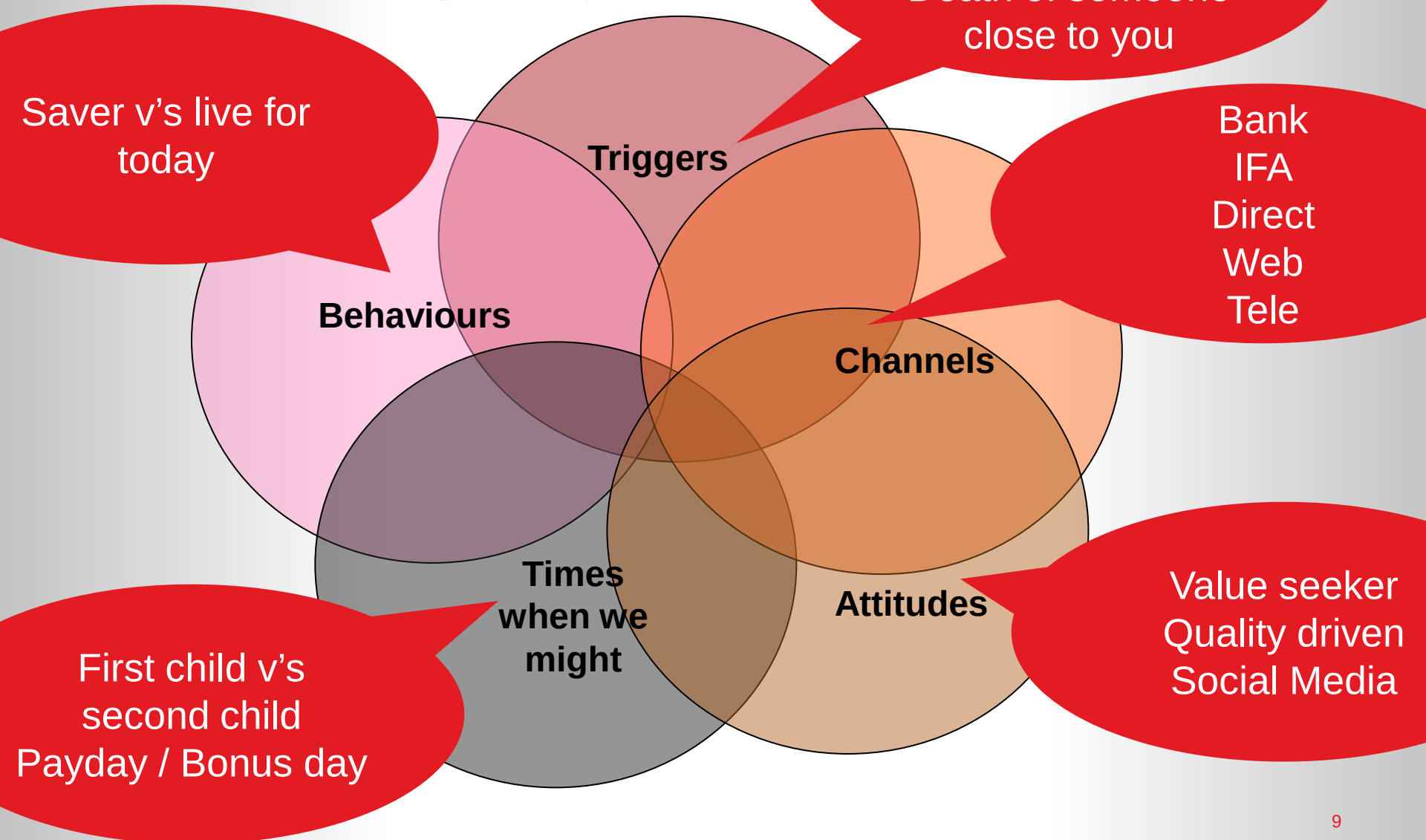
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Layers of Complexity



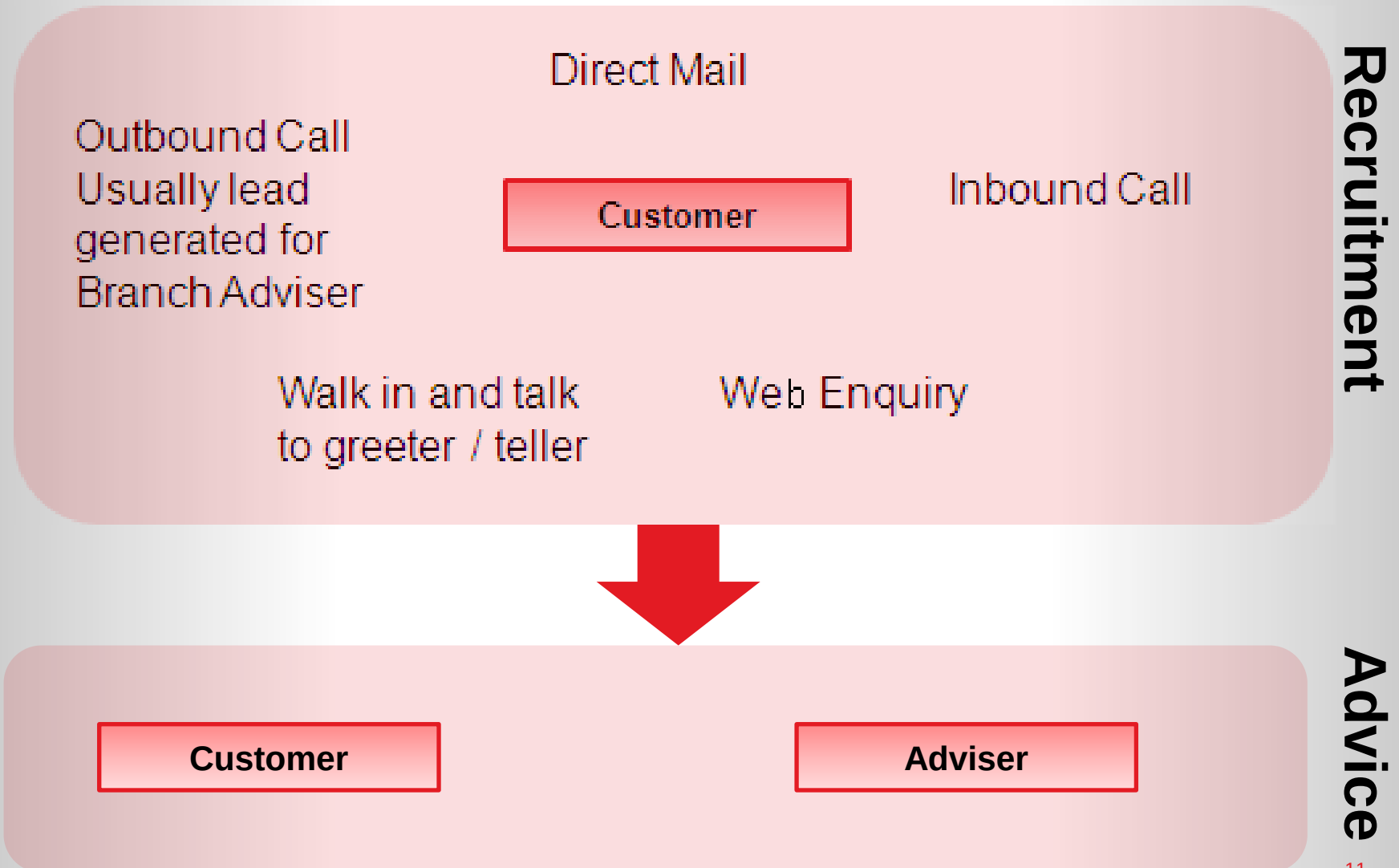
Layers of Complexity





UK sales process case studies - Bank

Bancassurance - Lloyds Banking Group Process



Lloyds Banking Group Process

Needs Execution

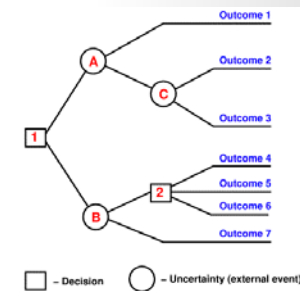
Customer

Adviser

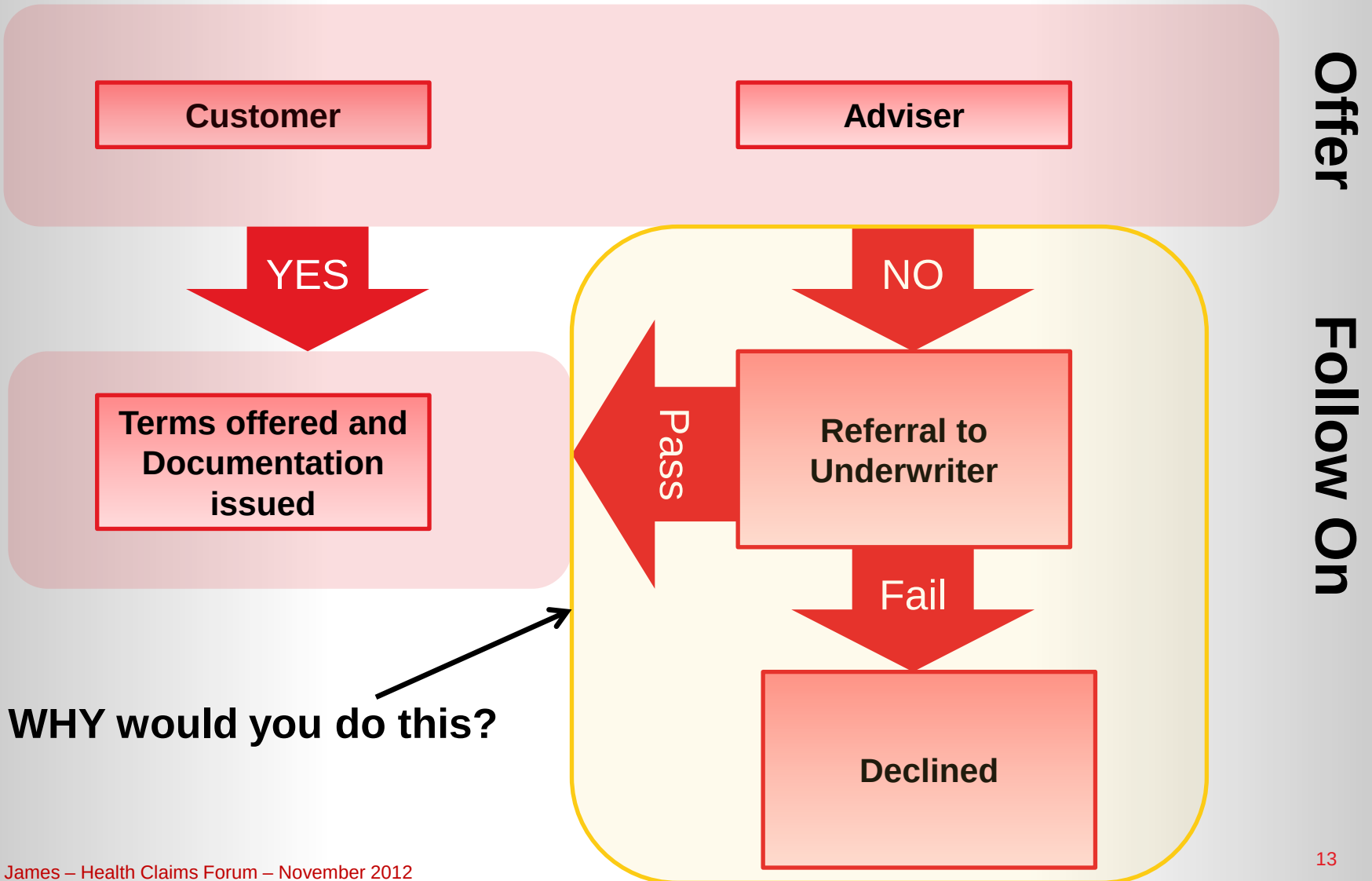


Customer

Adviser



Lloyds Banking Group Process



Lloyds Banking Group – process re-cap

Typical Sales Process

- Make an appointment to see an adviser
- In branch Face to Face holistic process
- Price about double best in market
- Traditional multi question underwriting BUT...
- Online underwriting engine deployed into the branch and used by the sales agent with the customer
- 90% of cases accepted at point of sale
- Sellers get certainty that their sales effort will lead to a sale
- Customer leaves the branch on risk

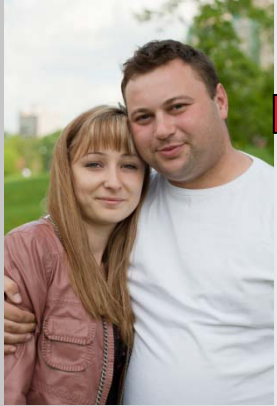
Underwriting – would you bother in your business?

Quick, Efficient, Easy, Cheap?



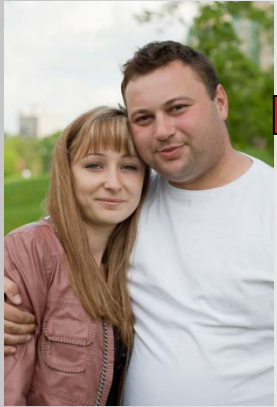
UK sales process case studies - IFA

Customer Journey



Customer

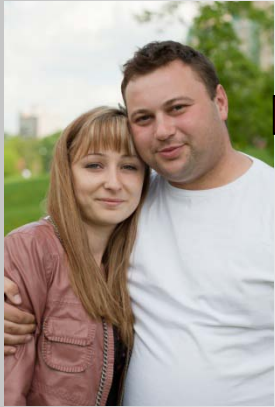
Customer Journey



IFA

Customer

Customer Journey



Customer



IFA

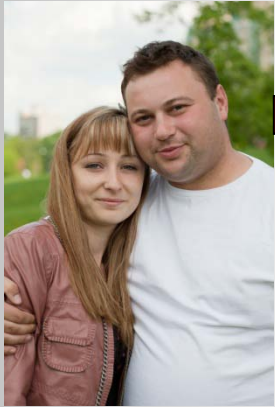
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- Looks at a Portal
- Provides a recommendation
- Thinks about his panel / compliance



**Avelo Exchange
Assureweb
Webline**

<http://exweb.exchange.uk.com/Public/Login/logDefault.aspx>

Customer Journey



Customer



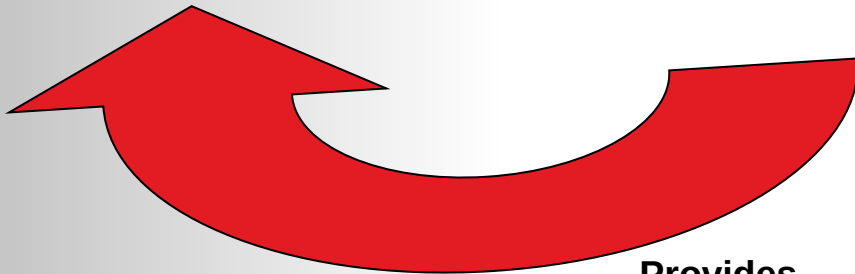
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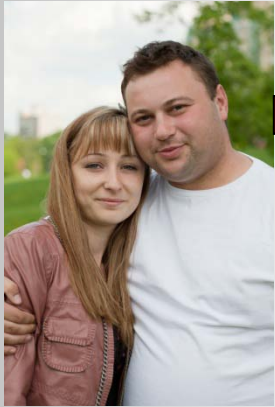
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**Provides
recommendation**

Customer Journey



Customer



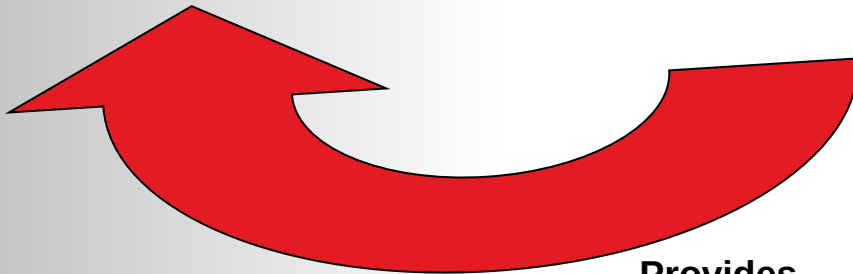
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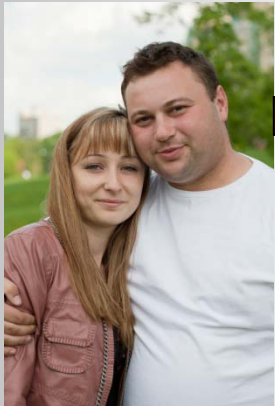
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**Provides
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Customer Journey



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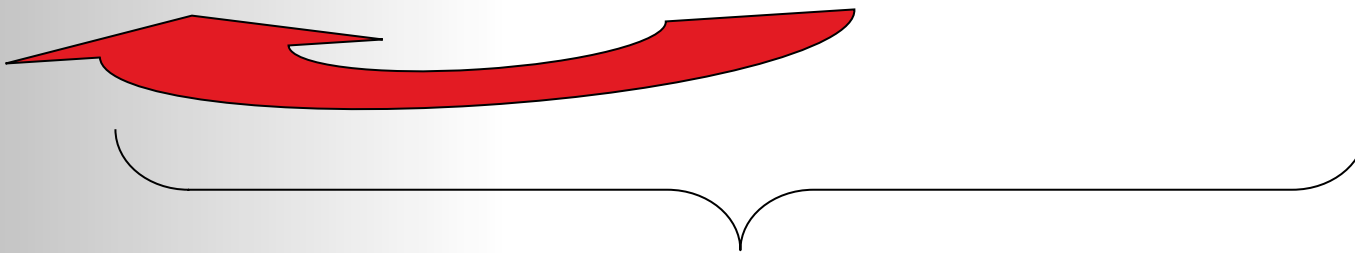


IFA

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Application form
Please fill in ALL the boxes below in BLOCK CAPITALS, using black ink.
If you miss something out it might delay your application.
Remember to read the Agreement conditions booklets enclosed and the

Step 1 – Your personal details

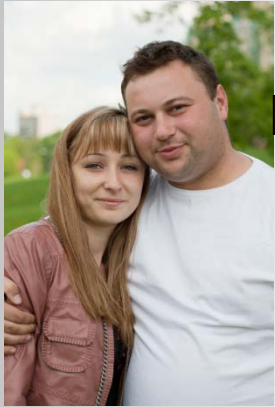
Title Surname Middle name
First name Date of birth
Are you? Male ☐ Female ☐
Nationality
Mother's maiden name
Home phone (include dialling code)

- Application forms filled in
- Application then re-keyed to Life Office system by IFA Admin staff



Ready to buy

Customer Journey



Customer



IFA



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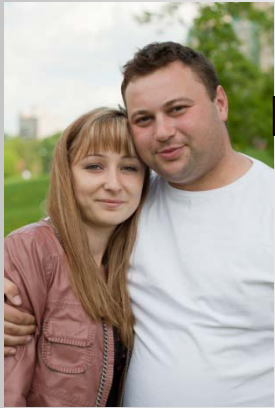


**Life
Company**

**Underwriting
Yes / No**



Customer Journey



Customer



IFA



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**Life
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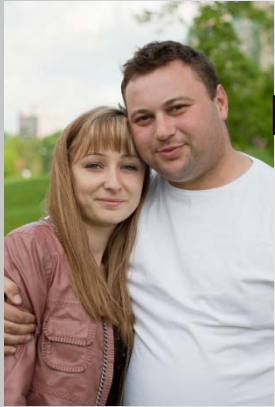
COMPANY NAME
your slogan here



**Underwriting
.....Yes**



Customer Journey



Customer



IFA



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**Life
Company**

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your slogan here



**Underwriting
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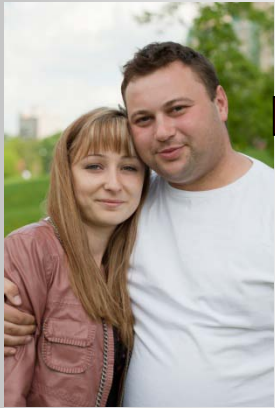


**Refer
Yes/No**

Disclosures?



Customer Journey



Customer



IFA



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App. Form Submitted



**Life
Company**



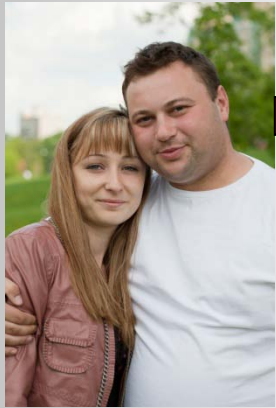
**Underwriting
.....Yes**



Refer



Customer Journey



Customer



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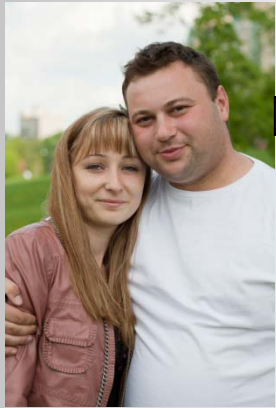
**Life
Company**

**Underwriting
.....Yes**



**Refer
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Customer Journey



Customer



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Life Company

COMPANY NAME
your slogan here

Underwriting
.....Yes

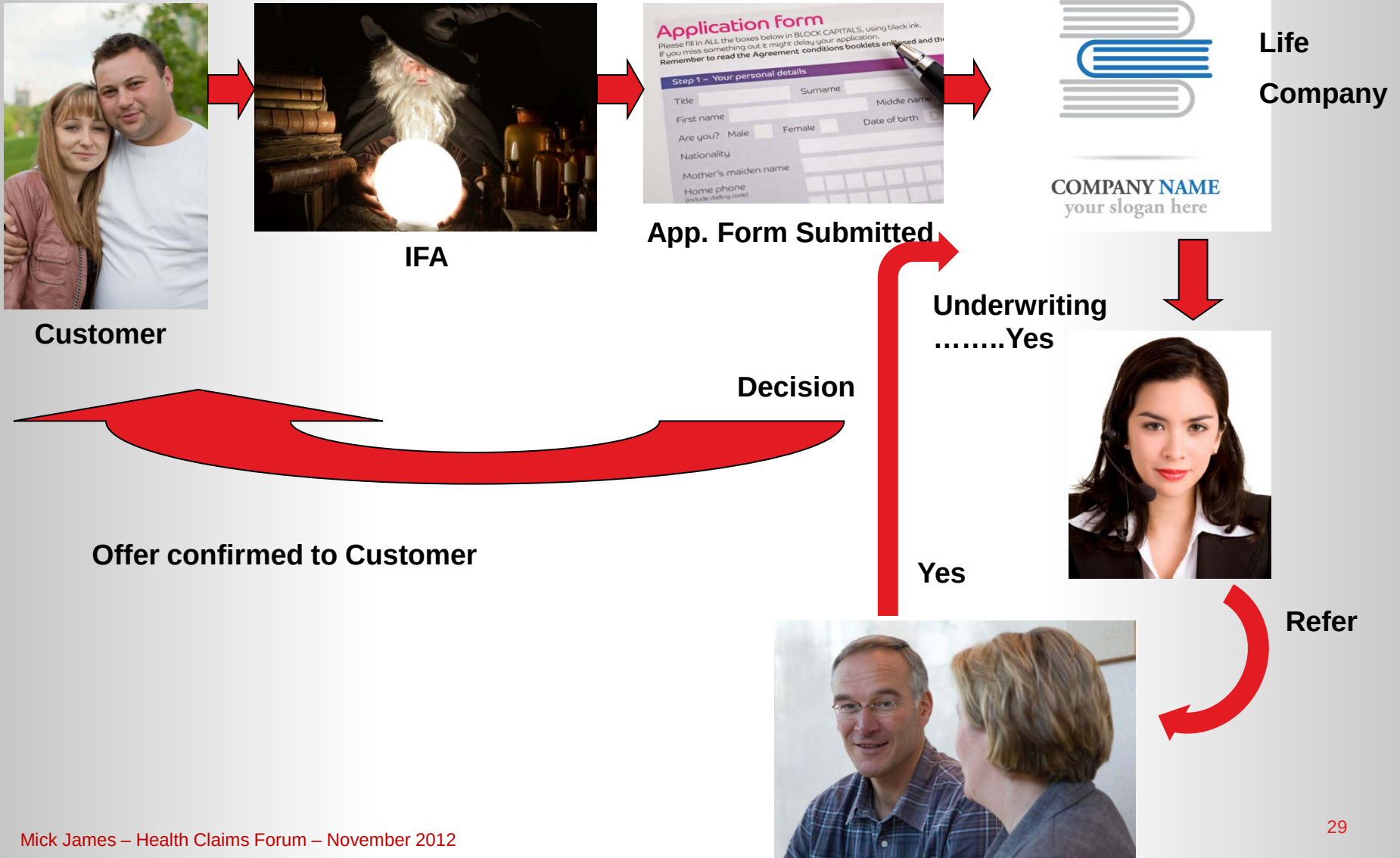


Decision



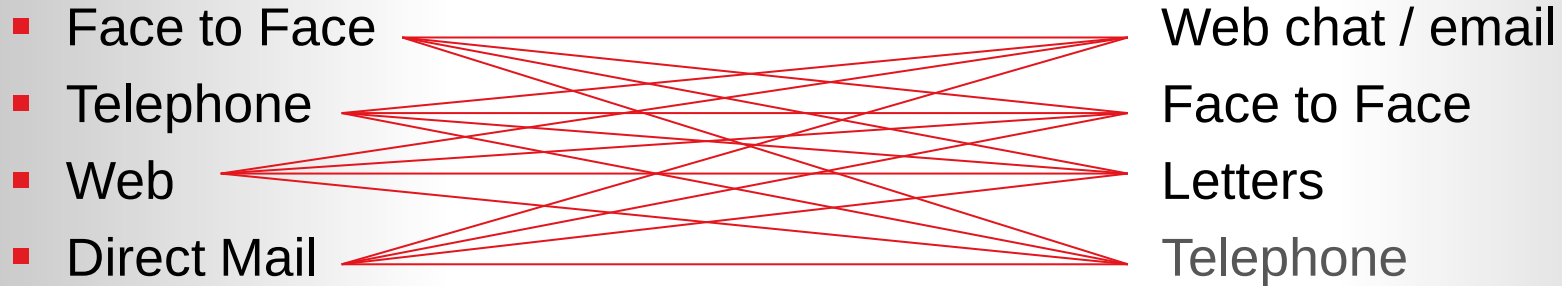
Refer
Yes

Customer Journey



Sales Options

UK



Complex series of hand offs

Global

- Cash machines
- Mobile Phones
- Utility Bills
- Retail

UK still leading the way with tele-underwriting across distribution channels

- tele-interviewing (“little t”) and Tele-Underwriting (“big T”)
- Why?
 - Consistency of underwriting
 - Cost efficiencies
 - Improved turnaround times
 - Less medicals
 - Appropriate for direct and bancassurance distribution
 - Improved customer experience
- Call recording
 - Good for disputed claims
 - Quality control / audits
 - Training
- Potential for reduced number of claims
- Greater disclosure than traditional paper-based applications



Hollard selling death and IP in PEP stores



How does it feel for the customer?

- Trade off between:
 -so simple that I don't trust it and
 -so complex that I am losing the will to live
- Does the opportunity to transact occur in my world?
- Confusion – lets look at what we actually send out



Issues and Risk Factors associated with different purchase routes

Some simple truths

- Insurers want lots of **volume**, appropriate **risk controls** and acceptable **profits**
- Reinsurers want lots of volume, appropriate risk controls and acceptable profits

Some rules of thumb

- Sales Agent involved
 - Spectrum of outcomes**
 - Chance to 'lead the witness'
- Customer does it themselves
 - Typically less non disclosure
 - Typically more 'sticky' as they have self selected
- Tele-interview
 - Typically less non disclosure
 - Typically good customer experience / satisfaction

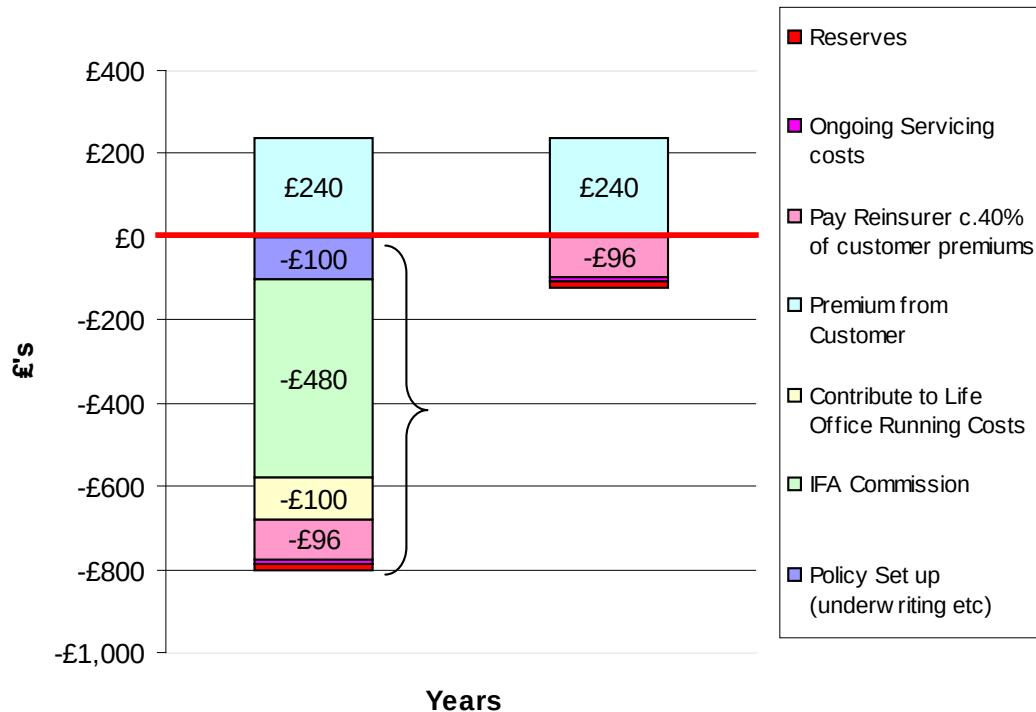


Where does all the money go?

What does it cost?

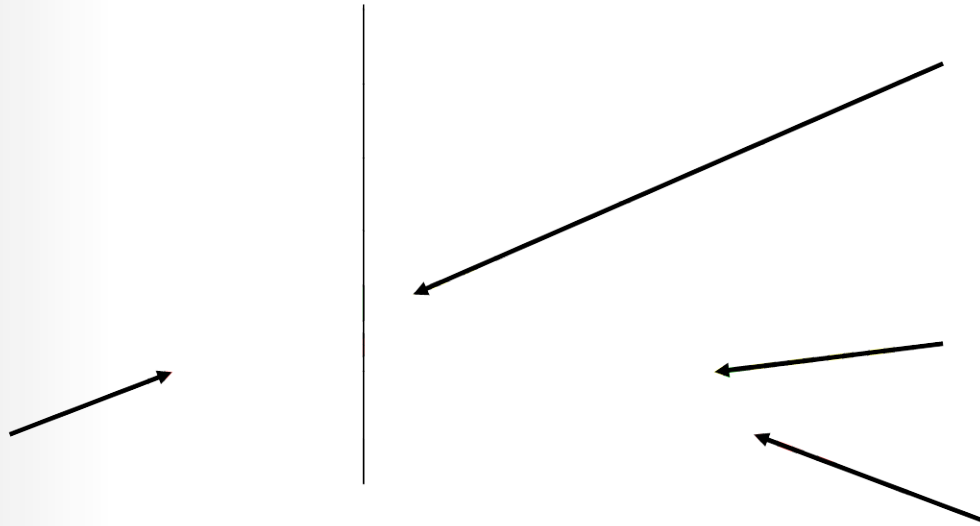
Where do we make our money?

Where does the money go on a £20 policy?



Year	1	2
Policy Set up (underwriting etc)	-£100	£0
IFA Commission	-£480	£0
Contribute to Life Office Running Costs	-£100	£0
Premium from Customer	£240	£240
Pay Reinsurer c.40% of customer premiums	-£96	-£96
Ongoing Servicing costs	-£12	-£12
Reserves	-£12	-£12
Earnings	-£560	£120

Show me the money...



Conclusions

- Sales process is a key driver of success
- Put yourself in your customers' shoes
- Put yourself in your advisers' shoes
- Open your mind to new ways of delivering success



Thank you for listening
Comments and Questions?

mjames@rgare.com